

Example Property Investment Plan

1. Investment Goal

- Build long-term passive income through rental properties.
- Target annual **net return of 6–8%** and **capital growth of 3–5%**.
- Plan to acquire **3 properties over 5 years**.

2. Budget & Financing Strategy

- Available capital: **£80,000**
 - £60,000 for deposits
 - £20,000 for fees, initial improvements, and contingency
- Use **75% loan-to-value (LTV)** buy-to-let mortgages.
- Expected mortgage interest rate: **4–5%**.

Example property budget per purchase:

- Property value: **£200,000**
- Deposit (25%): **£50,000**
- Legal & arrangement fees: **£3,000**
- Initial repairs: **£5,000**
- Total cash needed: **£58,000**

3. Property Criteria

- **Location:** High-demand rental markets (e.g., university towns, commuter cities).
 - **Property type:** 2–3 bedroom houses or apartments.
 - **Ideal features:**
 - Low maintenance
 - Near transport and amenities
 - Strong rental demand
 - **Target price range:** £180,000–£220,000
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4. Rental Income & Returns

Example rental forecast:

- Monthly rent: **£1,050**
- Mortgage: **£650**
- Insurance & maintenance: **£80**
- Letting & management: **£105**
- Net income: **£215 per month**
- **Net yield:** 3.5%
- **Gross yield:** 6.3%

Projected 5-year growth:

- Annual appreciation at 3% → property worth ~**£231,000**
 - Equity increases through both appreciation and mortgage payments.
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5. Risk Management

- Maintain a **3-month emergency fund** per property.
- Buy in areas with historically stable occupancy.
- Choose properties that can be rented within 4–6 weeks.
- Avoid over-leveraging: keep LTV across portfolio $\leq 75\%$.

6. Management Plan

- Use a letting agent for tenant sourcing and management (10% fee).
 - Annual review of rents, mortgage rates, and property values.
 - Inspect properties every 6 months.
 - Refinance after year 3–4 if equity allows, to fund additional purchases.
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7. Exit Strategy

Choose one or combine:

- **Sell after 10+ years** for capital gains.
- **Refinance** to extract equity and buy more properties.
- **Hold long-term** as retirement income.